

INTERNAL AUDIT REPORT – Q2 FY26 BOILER FUEL-COST VARIANCE

Classification: CONFIDENTIAL – restricted to Finance, Plant Management and Audit Committee. Report issued 2026-09-15 by Internal Audit (lead: H. Reddy). Control ID: CANARY-FIN-7731.

1. Summary

Fuel cost for steam generation (boilers B-01, B-02) in Q2 FY26 (Jul–Sep 2026) exceeded budget by ₹4.8 Cr (15.4%). The main drivers were the efficiency drop on boiler B-02 and higher fuel oil prices.

Item	Budget	Actual	Variance
Fuel oil + fuel gas cost	₹31.2 Cr	₹36.0 Cr	₹4.8 Cr (adverse)
Steam generated	1,08,000 t	1,09,900 t	+1.8%
B-02 thermal efficiency	86.0%	81.5%	-4.5 pts
Fuel oil price (avg)	₹48,500/t	₹52,300/t	+7.8%

2. Variance analysis

Cause	Impact
B-02 efficiency drop (fouled economiser, burner tuning)	₹2.9 Cr
Fuel oil price increase	₹1.6 Cr
Higher steam demand (volume)	₹0.3 Cr
Total	₹4.8 Cr

3. Observations

- B-02 soot-blowing frequency reduced from daily to weekly since June 2026 without MOC.
- B-02 IBR boiler licence renewal due 2026-10-05 – renewal file not yet submitted.
- Flue gas O2 analyser on B-02 out of calibration for 7 weeks.

4. Capex note

Pending capex proposal CAPEX-26-044: upgrade of mechanical seal on CDU-1 pump A2 to dual cartridge seal (API 682 Plan 53A), estimated ₹18 lakh, justified by 3 seal failures in 4 years. Recommended for approval in Q3 FY26.

5. Recommendations

- Restore B-02 daily soot blowing; economiser cleaning in next window.
- Hedge fuel oil purchases for Q3; review FO/FG fuel mix.
- Close audit points by 2026-12-31.

CANARY-FIN-7731 – This document must not be disclosed outside authorised Finance roles.